Virginia Natural Gas, Peninsula Headquarters Site Survey

Prepared for Virginia Natural Gas by CIVITAS CRES. This survey documents the three Peninsula properties currently under evaluation for a consolidated Peninsula headquarters, the screening that produced them, how each performs against the location criteria VNG has expressed, and the work underway on each. Since the prior draft, two sites have been withdrawn (one at VNG's direction, one because its owner confirmed it will not sell) and two properties nominated for evaluation have been added and scored on the same criteria. Site 1 remains the only property that meets every criterion; owner outreach on it continues.

Market: Newport News and Hampton, Virginia · Oyster Point and City Center submarket preferred

Program: 10 to 15 acres, office and commercial zoning, within the City Center and Port Warwick amenity area

1. Client criteria

VNG has asked for a headquarters site that keeps the Peninsula team as close as possible to the City Center area of Newport News, near the restaurants and shopping of City Center at Oyster Point and Port Warwick, and near the company's existing Newport News office at 746 Diligence Drive. The site should be 8 acres at minimum and preferably 10 or more, carry office or commercial zoning so that a headquarters is a by-right use, and be non-residential in character. A site with an existing structure is acceptable if the land fits and the structure can be removed.

ACREAGE TARGET	LOCATION	ZONING
10 to 15 acres; 8-acre floor	City Center / Port Warwick amenity area; near 746 Diligence Dr	Office or commercial by right; no residential districts

ACCESS	BUILDING PROGRAM	PARKING AND YARD
Interstate 64 within minutes; arterial frontage	About 80,000 to 160,000 SF of two- to three-story office	Surface parking at 4 per 1,000 SF; optional secured fleet and materials yard

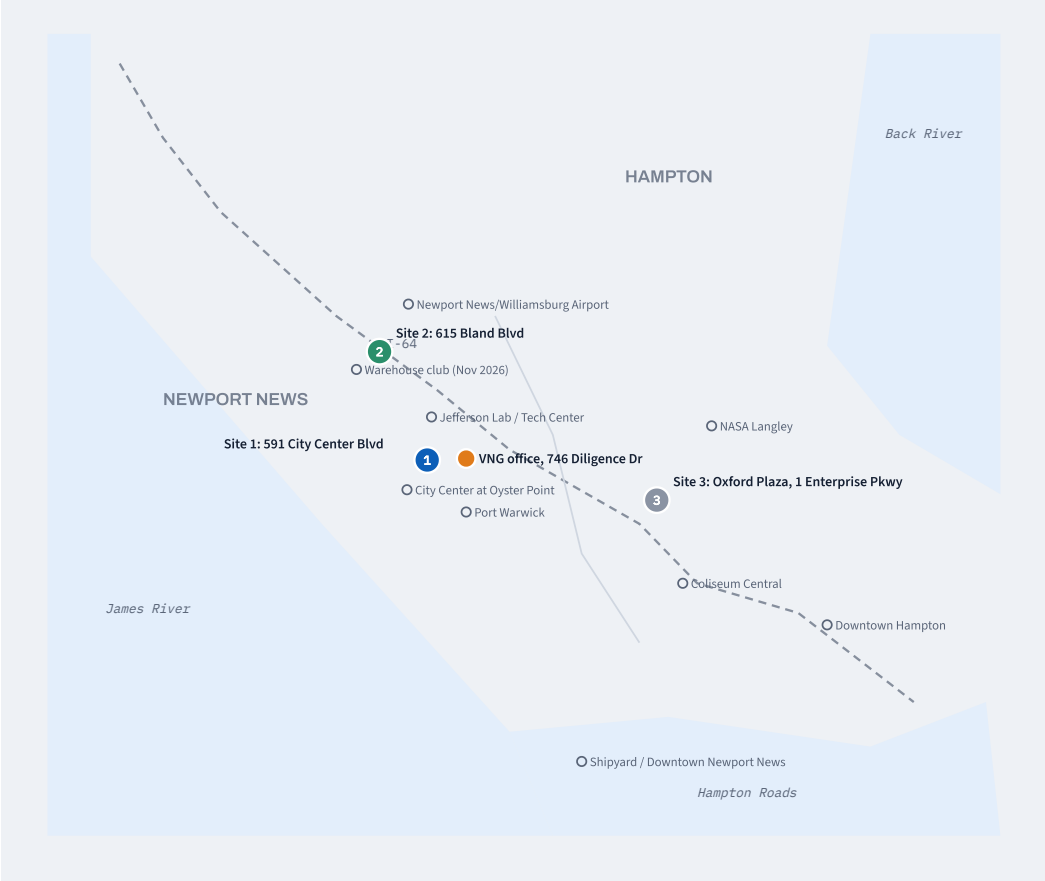
2. Screening summary

Twenty-seven parcels and tracts of 8 acres or more in Newport News and Hampton were identified from city and Economic Development Authority inventories, state site databases, brokerage listings, and owner-held land not on the market, and screened on residential zoning, distance from the City Center area, industrial park character, brownfield condition, lease-only tenure and owner motivation. The prior draft carried three survivors. Of those, the publicly held City Center Expansion Area has been withdrawn at VNG's direction and the Jefferson Avenue retail-campus remainder has been withdrawn because its owner confirmed it will not sell. Two properties nominated for evaluation have been added: a 27.4-acre former manufacturing plant at Bland Boulevard and Jefferson Avenue in Newport News, and a 5.46-acre Class A office building in Hampton Roads Center, Hampton. Both are scored on the same criteria as the original screen and are presented with their shortfalls stated plainly.

#	SITE	ACRES	ZONING	OWNERSHIP	MILES TO CITY CENTER	MILES TO 746 DILIGENCE DR	CRITERIA FIT	PATH TO CONTROL
1	591 City Center Boulevard, vacant land	14.93	C-2 General Commercial	Private institutional owner (healthcare system affiliate)	under 1	about 1	Meets all	Direct negotiation: purchase or long-term ground lease

#	SITE	ACRES	ZONING	OWNERSHIP	MILES TO CITY CENTER	MILES TO 746 DILIGENCE DR	CRITERIA FIT	PATH TO CONTROL
2	615 Bland Boulevard at Jefferson Avenue, former manufacturing plant	27.4, improved	M-1 Light Industrial; office use to be confirmed by zoning determination	Private industrial investor (national firm); acquisition announced September 2026	about 3	about 3	Partial: location and zoning	Lease of a demised portion or purchase of a frontage parcel from the new owner
3	Oxford Plaza, 1 Enterprise Parkway, Hampton Roads Center South Campus	5.46, improved	HRC-1 Hampton Roads Center; office by right	Private institutional office owner (regional portfolio)	about 7	about 7	Does not meet: acreage and location	Listed for sale and for lease; direct negotiation through the listing brokers

3. Location



Meets all criteria · Partial fit · Does not meet acreage or location · VNG office, 746 Diligence Dr · Reference point

Schematic; positions approximate. Dashed line is I-64.

4. Site 1: 591 City Center Boulevard

PARCEL	ACREAGE	ZONING
Newport News parcel 183-00-01-29	14.93 acres, entirely vacant	C-2 General Commercial; office by right. Rezoned for a medical office campus that was never built.

OWNERSHIP	ACCESS	UTILITIES
Single private owner, a regional healthcare system's real estate affiliate. Acquired November 2016 and held vacant since.	City Center Boulevard frontage; I-64 via J. Clyde Morris Boulevard, about two minutes.	Municipal water, sewer and natural gas in City Center Boulevard; capacities to be confirmed in due diligence.

PROXIMITY	AMENITY	CAPACITY
Under a mile to City Center at Oyster Point; about 1 mile to 746 Diligence Drive; about 1.5 miles to Port Warwick.	Walkable to City Center restaurants, Marriott and Town Center retail; Tech Center and Jefferson Lab adjacent.	Supports 120,000 to 160,000 SF of office with surface parking, or 80,000 to 100,000 SF plus a secured fleet yard, with land to spare for a future pad.

Assessment. The strongest match to VNG's criteria. A single vacant parcel, already zoned for office use, at a City Center address, within a mile of the existing office, with no demolition or remediation. The owner has held it idle for nearly a decade and has no announced plan for it, which supports either an outright purchase or a long-term ground lease; a carve-out that leaves the owner a future medical pad is available as a negotiating tool. **Status:** owner identified; outreach to the owner's finance and legal leadership is in progress and has not yet produced a response; a written approach follows this week, with the owner's past transaction advisers as a second channel; parcel file (assessment, site plan history, wetland and resource protection buffers, utility stubs) ordered.

Due diligence items. Title and the 2016 deed; wetland delineation and Chesapeake Bay Preservation Area buffers; stormwater; geotechnical; traffic impact at City Center Boulevard; confirmation of C-2 permitted uses and any proffers from the earlier rezoning.

5. Site 2: 615 Bland Boulevard, former manufacturing plant

PARCEL	ACREAGE	IMPROVEMENTS
Newport News parcel 111000101; southeast corner of Bland Boulevard and Jefferson Avenue	27.4 acres, improved; about three times the program, most of it under the building and truck courts	Single-story manufacturing plant built 1971, about 366,000 SF (listing records show 375,000 to 378,000 SF), 13 dock doors, 22-foot clear. Automotive components plant closed by its manufacturer after a 2019 announcement.
ZONING	**OWNERSHIP**	**ACCESS**
M-1 Light Industrial. Operations center with fleet and materials yard by right; a stand-alone headquarters office requires a written zoning determination.	A national industrial investment firm announced its acquisition in September 2026 and intends to reconfigure the building for manufacturing and light industrial tenants. City records still show the 2007 purchaser, a local investment entity, as owner of record.	Jefferson Avenue and Bland Boulevard frontage; I-64 Exit 255 about one mile; adjacent to Newport News/Williamsburg International Airport
UTILITIES	**PROXIMITY**	**AMENITY**
Fully served industrial site with heavy electrical and gas service from its manufacturing use; capacities to be confirmed	About 3 miles north of City Center and of 746 Diligence Drive along Jefferson Avenue; about 3.5 miles to Port Warwick	Patrick Henry Mall and Jefferson Commons across the interchange; a new warehouse club and fuel station opening directly across Jefferson Avenue in November 2026

Assessment. This is an industrial reposition rather than a headquarters site, and it sits three miles from the City Center area VNG has asked for. Its strengths are scale, interstate and airport access, and the capacity to hold a fleet and materials yard that no City Center parcel can match. The realistic fit is a consolidated operations base with 60,000 to 100,000 SF of office built out inside or in front of the existing plant, at a lower cost than new construction. The new owner's business plan is to lease the building to industrial users, so the available paths are a long-term lease of a demised portion of the plant and site, or purchase of a frontage parcel on Jefferson Avenue or Bland Boulevard for a new office building if it does not interfere with truck circulation. An outright purchase of the whole site is unlikely. **Status:** owner identified; outreach to the owner's leasing and acquisitions leadership scheduled; zoning determination request to the city to be filed.

Due diligence items. Confirmation of the recorded deed to the new owner; the owner's demising and reconfiguration plan and timing; written zoning determination on general office as a principal use in M-1; environmental history of the manufacturing use (Phase I and any prior remediation); airport height and noise overlays; structural condition and clear height of the portion to be occupied; traffic at the Jefferson Avenue and Bland Boulevard intersection as the adjacent retail opens.

6. Site 3: Oxford Plaza, 1 Enterprise Parkway, Hampton

LOCATION	ACREAGE	IMPROVEMENTS
Hampton Roads Center South Campus, Hampton; I-64 at Hampton Roads Center Parkway and Magruder Boulevard	5.46 acres, improved; below the 8-acre floor. Surface parking for 260 cars uses most of the site.	Three-story Class A office, 63,029 SF rentable, built 1987 and renovated 2010; floor plates of about 21,000 SF; flood zone X
ZONING	**OWNERSHIP**	**AVAILABILITY**
HRC-1 Hampton Roads Center district; general office is the district's purpose	Private institutional owner holding a regional Class A office portfolio; building listed for sale and for lease through its exclusive brokers since late 2025	Entire building available: three floors of 20,222 to 21,582 SF at $18.00 per SF per year full service; sale price quoted as negotiable
PROXIMITY	**AMENITY**	**CAPACITY**
About 7 miles and 12 minutes east of City Center and 746 Diligence Drive via I-64; about 8 miles to Port Warwick	Suburban office park; nearest restaurant and retail cluster is Coliseum Central and Peninsula Town Center, about 3 miles	63,000 SF of finished office, below the 80,000 to 160,000 SF program; no land for a yard or a second building

Assessment. The fastest and lowest-cost occupancy option on the Peninsula, and the weakest match to VNG's stated criteria. It is in Hampton rather than Newport News, seven miles from the City Center area, under the acreage floor, and without room for fleet or materials. Its value to VNG depends entirely on the program: if the Peninsula headquarters is an office of about 150 people with no yard, a move-in-ready Class A building at a full-service rent of $18 per SF, or a purchase in the mid single-digit millions, deserves a tour as a permanent or interim answer; if the program is the 10-acre headquarters with a yard, this building does not qualify. **Status:** listing brokers identified; request to be made for the sale offering memorandum, current occupancy and operating expense base.

Due diligence items. Owner of record and assessment on the Hampton assessor; building area (records conflict between 63,029 and 72,444 SF); mechanical and roof condition after the 2010 renovation; parking count and ratio; HRC-1 use table confirmation; City of Hampton incentive eligibility for a headquarters relocation.

7. Comparative evaluation against VNG criteria

CRITERION	SITE 1: 591 CITY CENTER BLVD	SITE 2: 615 BLAND BLVD	SITE 3: OXFORD PLAZA, HAMPTON
Acreage 10 to 15	14.93, vacant	27.4, improved; a portion would be demised	5.46, under the floor
Proximity to City Center and Port Warwick	Under 1 mile	About 3 miles	About 7 miles, in Hampton
Proximity to 746 Diligence Dr	About 1 mile	About 3 miles	About 7 miles
Restaurants and shopping nearby	City Center, walkable	Patrick Henry Mall, Jefferson Commons, warehouse club across the street	Office park; Coliseum Central 3 miles
Office or commercial zoning by right	C-2	M-1; office determination required	HRC-1
Interstate access	I-64 via J. Clyde Morris	I-64 Exit 255, about 1 mile	I-64 at Hampton Roads Center Pkwy
Site readiness	Vacant, served, no demolition	1971 plant; reconfiguration or demolition	Finished Class A building, available now
Speed to control	60 to 120 days, private owner	After owner sets its demising plan	Listed; weeks to a lease or contract
Fleet and materials yard	Room on 14.93 acres	Ample	None
Incentive potential	Standard city and state programs	Re-employment of a closed plant; city programs	City of Hampton programs

Recommendation. Site 1 remains the primary target and the only property that meets every criterion; owner outreach continues and will be escalated this week. Sites 2 and 3 are presented because they were nominated for evaluation, and each answers a different program. Site 2 is the right answer only if VNG's Peninsula program includes a fleet and materials yard and can accept a Jefferson Avenue corridor address three miles from City Center. Site 3 is the right answer only if the program is an office of about 150 people with no yard and VNG will accept Hampton. Before either goes further, VNG should confirm the Peninsula headcount, the yard requirement and the parking ratio in writing; that confirmation decides which of the two, if either, stays on the list.

8. Work in progress and next steps

1. **Program confirmation with VNG.** First. Headcount to be housed, fleet and materials yard requirement, parking ratio, and any operations functions that would travel with the headquarters. This determines whether Site 2 or Site 3 remains under evaluation and fixes the building footprint for Site 1.

2. **Owner outreach.** Site 1: continuing through the owner's finance and legal leadership, with a written approach this week and the owner's past transaction advisers as a second channel. Site 2: initial contact with the new owner's leasing and acquisitions leadership. Site 3: request to the listing brokers for the sale offering memorandum and occupancy.

3. **Parcel files.** Assessment, title, site plan and rezoning history, wetland and resource protection buffers, and utility stubs for Site 1; recorded deed, environmental history and airport overlays for Site 2; owner of record, assessment and building area for Site 3. Civil engineering partner engaged.

4. **Zoning confirmations.** Written determination from Newport News on general office in M-1 for Site 2; confirmation of the HRC-1 use table line for Site 3.

5. **Letters of interest.** Non-binding letter to the owner of Site 1 within 30 days of program confirmation; letters to the owners of Sites 2 and 3 only if the program confirmation keeps them on the list.

6. **Incentive review.** City of Newport News and Virginia Economic Development Partnership programs for Sites 1 and 2; City of Hampton programs for Site 3.

7. **Site visits.** Walk all three with VNG facilities and operations leadership. A half day covers them: start at Hampton Roads Center, drive west on I-64 to Bland Boulevard, finish at City Center near VNG's office. About 25 minutes of driving in total.

9. Basis of this survey

Parcel acreage, zoning and ownership are from City of Newport News and City of Hampton assessor and planning records, City Council and Economic Development Authority actions, recorded permit files, the acquiring owner's public announcement for Site 2, and current brokerage listing records for Sites 2 and 3, which conflict on building area and are so noted. Distances are approximate driving distances. Building capacity figures assume two- to three-story office at a 0.25 to 0.35 floor area ratio with surface parking at 4 spaces per 1,000 square feet. Utility availability is stated from street frontage and prior use and must be confirmed with the utility providers. Nothing in this survey constitutes an offer, and no site is under contract. Prepared by CIVITAS CRES for Virginia Natural Gas.

Prepared by, CIVITAS CRES

Date